

GBBC Digital Finance Virtual Asset Due Diligence Questionnaire 2023 (GDF VADDQ v1.2)

The Anti-Money Laundering Due Diligence Questionnaire (DDQ) for Virtual Asset Service Providers (VASPs) has been developed by GBBC for Financial Institutions onboarding VASPs.

It is intended to be used as part of the due diligence and risk management programme of the DDQ Issuing entity (the Issuer) and to be completed by the Responding entities according to internal risk appetite. DDQ Issuing Entities may amend this GDF VADDQ to suit their specific requirements.

Responding entities should respond in full and accurately to the DDQ Issuing Entity, noting that responses given via the DDQ Issuing Entity's portal will be shared with the Issuer. Additional details can be recorded in the "Notes" column.

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This document is a global document and deliberately uses the language of the Financial Action Task Force (FATF).

The GDF VADDQ is based upon the work of the Wolfsberg Group and acknowledges and thanks the Wolfsberg Group for their contribution.

SECTION 1. ENTITY & OWNERSHIP

No #	Question
1	Legal Name
2	Append a list of foreign branches which are covered by this questionnaire
3	Full Legal (Registered) Address.
4	Full Primary Business Address (if different from Registered Address above).
5	Date of Entity Incorporation / Establishment.

6	Incorporation Number, if available.
7a	Select type of ownership and append an ownership chart if available:
7b	Publicly Traded (25% of shares publicly traded)
7b1	If Y, indicate the exchange traded on and ticker symbol
7c	Member Owned / Mutual
7d	Government or State Owned by 25% or more
7e	Privately Owned
7e1	If Y, provide details of shareholders or ultimate beneficial owners with a holding of 10% or more
7f	Foundation / Not-for-Profit / Trust
7g	Other
7g1	If Other, specify
8	Percentage of the Entity's total shares composed of bearer shares
9	Name of primary financial regulator / supervisory authority
10	Select the Entity's primary regulatory License / Registration status
10a	No license / registration required
10b	Registered

10c	• Temporary license exemption
10d	• License application in progress
10e	• Licensed
11	If licensed or registered, provide the primary License / Registration Number(s) in the Entity's primary
12	Provide a list of jurisdictions, other than the primary jurisdiction, where the Entity has been granted
13	Please provide a list of jurisdictions, other than those mentioned in 1l and 1m, where the Entity
14	Has the Entity been subject or is subject to any regulatory sanctions or improvement orders?
14a	• If Yes, provide details
15	Provide Legal Entity Identifier (LEI) if available
16	Provide the full legal name of the ultimate parent (if different from the Entity completing the DDQ)
17	Jurisdiction of licensing authority and regulator of ultimate parent, if applicable
18	Select the business areas applicable to the Entity
18a	• Exchange between virtual assets and fiat currencies
18b	• Exchange between one or more forms of virtual assets
18c	• Transfer of virtual assets
18d	• Safekeeping and/or administration of virtual assets or instruments enabling control over virtual
18e	• Participation in and provision of financial services related to an issuer's offer and/or sale of a virtual
18f	• Other
18f1	•• If Other, provide details.
19	Would the Entity be described as
19a	• Centralised
19b	• Decentralised
19b1	If Decentralised, provide details
20	Provide the top five countries where the Entity's customers are located.
21	Select the closest value

21a	• Number of Employees
21b	• Total Assets (USD equivalent)
22	Does the Entity have a physical presence (e.g., branches, subsidiaries, or representative offices) in countries / regions against which the UN and/or OFAC have enacted comprehensive jurisdiction-based Sanctions ?
23	Does the Entity have offshore customers domiciled in countries / regions against which the UN and/or OFAC have enacted comprehensive jurisdiction-based Sanctions ?
24	Confirm that all responses provided in the above Section are representative of all the LE's branches
24a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
24b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 2. PRODUCTS & SERVICES

No #	Question
25	Does the Entity offer the following products and services:
25a	• Intermediary VASP
25a1	If Y
25a2	• Does the Entity offer Intermediary VASP services?
25a3	• Does the Entity allow banks, NBFIs, or other VASP clients to provide downstream relationships?
25a4	• Does the Entity have processes and procedures in place to identify downstream relationships with banks, NBFIs, or other VASPs?
25a5	• Does the Entity offer Intermediary VASP services to regulated MSBs/MVTS?
25a6	• Does the Entity allow downstream relationships with MSBs/MVTS?
25a7	• Does the Entity have processes and procedures in place to identify downstream relationships with MSB/MVTS?
25b	• Cross Border Remittances
25c	• Low Price Securities
25d	• Payment services to non-bank entities who may then offer third party payment services to their
25d1	In Y, please select all that apply
25d2	• Third Party Payment Processors
25d3	• Third Party Payment Service Providers
25d4	• Virtual Asset Service Providers
25d5	• eCommerce Platforms
25d6	• Other- please explain
25e	• Peer-to-peer exchange
25f	• Private Banking

25g	• Remote Deposit Capture
25h	• Sponsoring Private ATMs
25i	• Stored Value Instruments
25j	• Trade Finance
25k	• Virtual asset ATMs
25l	• Virtual asset deposits or withdrawals to / from a bank account not verified as under the customer's
25m	• Virtual asset deposits or withdrawals to / from a wallet not verified as under the customer's control
25n	• Virtual asset exchange involving privacy-preserving Virtual Assets
25o	• Virtual asset issuance, fund raising, or collection of funds for Initial Coin Offerings (ICO) / Initial Exchange Offerings (IEO) / Security Token Offerings (STO) / Private Token Sales
25p	• Virtual asset omnibus or co-mingled custodial wallets
25q	• Virtual asset OTC trading for non-account holders
25r	• Unregulated Investment Funds
25s	• Other high risk products and services identified by the Entity
26	Confirm that all responses provided in the above Section are representative of all the LE's branches
26a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
26b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 3. AML, CTF & SANCTIONS PROGRAMME

No #	Question
27	Does the Entity have a programme that sets minimum AML, CTF and Sanctions standards regarding
27a	• Appointed Officer with sufficient experience/expertise
27b	• Adverse Information Screening
27c	• Beneficial Ownership
27d	• Cash Reporting
27e	• CDD
27f	• EDD
27g	• Independent Testing
27h	• Market Manipulation / Abuse Monitoring
27i	• Outsourcing
27j	• Periodic Review

27k	• Policies and Procedures
27l	• PEP Screening
27m	• Record Keeping
27n	• Risk Assessment
27o	• Sanctions
27p	• Suspicious Activity Reporting
27q	• Training and Education
27r	• Transaction Monitoring
27s	• Travel Rule
27t	• Unhosted Wallets
27u	• Wallet Address Screening and Monitoring (Blockchain Analytics)
28	Is the size and capability of the Entity's AML, CTF & Sanctions Compliance Department
29	How many full time employees are in the Entity's AML, CTF & Sanctions Compliance Department?
30	Please attach an organisation chart for your compliance department
31	Is the Entity's AML, CTF & Sanctions policy approved at least annually by the Board or equivalent Senior Management Committee?
32	Does the Board or equivalent Senior Management Committee receive regular reporting on the status of the AML, CTF & Sanctions programme AND demonstrate oversight over the programme?
33	Does the Entity use third parties to carry out any components of its AML, CTF & Sanctions programme?
33a	If Yes, please provide further details

34	Does the entity have a whistle-blower policy
35	Confirm that all responses provided in the above Section are representative of all the LE's branches
35a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
35b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 4. ANTI BRIBERY & CORRUPTION (ABC)

No #	Question
36	Has the Entity documented policies and procedures consistent with applicable ABC regulations and requirements to reasonably prevent, detect and report bribery and corruption?
37	Does the Entity have an enterprise wide programme that sets minimum ABC standards?
38	Has the Entity appointed a designated officer or officers with sufficient experience/expertise responsible for coordinating the ABC programme?
39	Does the Entity have adequate staff with appropriate levels of experience/expertise to implement the ABC programme?
40	Is the Entity's ABC programme applicable to:
40a	• Joint ventures
40b	• Third parties acting on behalf of the Entity
41	Does the Entity have a global ABC policy that:
41a	• Prohibits the giving and receiving of bribes? This includes promising, offering, giving, solicitation or
41b	• Includes enhanced requirements regarding interaction with public officials?
41c	• Includes a prohibition against the falsification of books and records (this may be within the ABC policy or any other policy applicable to the Legal Entity)?
42	Does the Entity have controls in place to monitor the effectiveness of their ABC programme?
43	Does the Entity's Board or Senior Management Committee receive regular Management Information
44	Has the Entity's ABC EWRA been completed in the last 12 months?
44a	If N, provide the date when the last ABC EWRA was completed.

45	Does the Entity have an ABC residual risk rating that is the net result of the controls effectiveness and
46	Does the Entity's ABC EWRA cover the inherent risk components detailed below:
46a	• Potential liability created by intermediaries and other third-party providers as appropriate
46b	• Corruption risks associated with the countries and industries in which the Entity does business, directly or through intermediaries
46c	• Transactions, products or services, including those that involve state-owned or state controlled entities or public officials
46d	• Corruption risks associated with gifts and hospitality, hiring/internships, charitable donations and political contributions
46e	• Changes in business activities that may materially increase the Entity's corruption risk
47	Does the Entity's internal audit function or other independent third party cover ABC Policies and Procedures?
48	Does the Entity provide mandatory ABC training to:
48a	• Board and Senior Committee Management.
48b	• 1st Line of Defence
48c	• 2nd Line of Defence
48d	• 3rd Line of Defence
48e	• 3rd parties to which specific compliance activities subject to ABC risk have been outsourced
48f	• Non-employed workers as appropriate (contractors/consultants)
49	Does the Entity provide ABC training that is targeted to specific roles, responsibilities and activities?
50	Confirm that all responses provided in the above Section are representative of all the LE's branches
50a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
50b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 5: AML, CTF & SANCTIONS POLICIES & PROCEDURES	
No #	Question
51	Has the Entity documented policies and procedures consistent with applicable AML, CTF & Sanctions
51a	• Money laundering
51b	• Terrorist financing
51c	• Sanctions violations
52	Are the Entity's policies and procedures updated at least annually?
53	Has the Entity chosen to compare its policies and procedures against:
53a	US Standards

53a1	If Y, does the Entity retain a record of the results?
53b	EU Standards
53b1	If Y, does the Entity retain a record of the results?
54	Does the Entity have policies and procedures that:
54a	• Prohibit the opening and keeping of anonymous and fictitious named accounts
54b	• Prohibit the opening and keeping of accounts for unlicensed banks and/or NBFIs
54c	• Prohibit dealing with other entities that provide banking services to unlicensed banks
54d	• Prohibit accounts/relationships with shell banks
54e	• Prohibit dealing with another entity that provides services to shell banks
54f	• Prohibit opening and keeping of accounts for Section 311 designated entities
54g	• Prohibit opening and keeping of accounts for any of unlicensed/unregulated remittance agents,
54h	• Prohibit the opening of accounts with unlicensed or unregistered VASPs?
54i	• Prohibit the opening of accounts specifically disallowed by jurisdictions in which the entity operates,
54j	• Assess the risks of relationships with domestic and foreign PEPs, including their family and close associates
54k	• Define the process for escalating financial crime risk issues/potentially suspicious activity identified by employees
54l	• Define the process, where appropriate, for terminating existing customer relationships due to financial crime risk
54m	• Define the process for exiting clients for financial crime reasons that applies across the entity, including foreign branches and affiliates
54n	• Define the process and controls to identify and handle customers that were previously exited for financial crime reasons if they seek to re establish a relationship
54o	• Define the process and controls assess the risk and handle transactions with unhosted virtual asset w
54p	• Outline the processes regarding screening for sanctions, PEPs and negative media
54q	• Outline the processes for the maintenance of internal "watchlists"
55	Has the Entity defined a risk tolerance statement or similar document which defines a risk boundary around their business?
56	Does the Entity have a record retention procedures that comply with applicable laws?
56a	If Y, what is the retention period?
57	Confirm that all responses provided in the above Section are representative of all the LE's branches
57a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to.
57b	• If appropriate, provide any additional information / context to the answers in this section.

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SECTION 6. AML, CTF & SANCTIONS RISK ASSESSMENT

No #	Question
58	Does the Entity's AML & CTF EWRA cover the inherent risk components detailed below:
58a	• Client
58b	• Product
58c	• Transaction
58d	• Channel
58e	• Geography
59	Does the Entity's AML & CTF EWRA cover the controls effectiveness components detailed below:
59a	• Transaction Monitoring
58b	• Customer Due Diligence
59c	• PEP Identification
59d	• Transaction Screening
59e	• Name Screening against Adverse Media & Negative News
59f	• Training and Education
59g	• Governance
59h	• Management Information
59i	• Token Listing / Delisting Policy
59j	• Third Parties and Outsourcing.
60	Has the Entity's AML & CTF EWRA been completed in the last 12 months?
60a	If N, provide the date when the last AML & CTF EWRA was completed.
61	Does the Entity's Sanctions EWRA cover the inherent risk components detailed below:
61a	• Client
61b	• Product
61c	• Transaction
61d	• Channel
61e	• Geography
62	Does the Entity's Sanctions EWRA cover the controls effectiveness components detailed below:
62a	• Customer Due Diligence
62b	• Governance
62c	• List Management
62d	• Management Information

62e	• Name Screening
62f	• Transaction Screening
62g	• Training and Education
63	Has the Entity's Sanctions EWRA been completed in the last 12 months?
63a	If N, provide the date when the last Sanctions EWRA was completed.
64	Confirm that all responses provided in the above Section are representative of all the LE's branches
64a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to.
64b	• If appropriate, provide any additional information / context to the answers in this section.

SECTION 7. KYC, CDD and EDD

No #	Question
65	Does the Entity verify the identity of the customer?
66	Do the Entity's policies and procedures set out when CDD must be completed, e.g. at the time of
67	Are the majority of the Entity's customer relationships Face-to-Face or Non Face-to-Face
67a	If majority Non Face-to-Face, does the Entity use any of the following to enhance verification:
67b	• Biometric solutions on identity documents
67c	• Biometric solutions on natural persons
67d	• Liveness testing on natural persons
67e	• GeoIP detection on the location on natural persons
67f	• Duplicate account detection
68	If majority Non Face-to-Face, are CDD records manually reviewed prior to a first transaction taking
69	Which of the following does the Entity gather and retain when conducting CDD? Select all that apply:
69a	• Customer identification
69b	• Expected activity
69c	• Nature of business/employment
68d	• Ownership structure
69e	• Product usage
69f	• Purpose and nature of relationship
69g	• Source of funds
69h	• Source of wealth
70	Are each of the following identified:
70a	• Ultimate beneficial ownership
70a1	•• Are ultimate beneficial owners verified?
70b	• Authorised signatories (where applicable)

70c	• Key controllers
70d	• Other relevant parties
71	What is the Entity's minimum (lowest) percentage threshold applied to beneficial ownership identification?
72	Does the due diligence process result in customers receiving a risk classification?
73	If Y, what factors/criteria are used to determine the customer's risk classification? Select all that apply:
73a	• Product Usage
73b	• Geography
73c	• Business Type/Industry
73d	• Legal Entity type
73e	• Adverse Information
73f	• Nature of Interaction (i.e. Face-to-Face vs Non Face-to-Face)
73g	• Other (specify)
74	For high risk non-individual customers, what additional verifications are performed?
75	If yes, when are these additional verifications performed?
75a	• Onboarding
75b	• KYC renewal
75c	• Trigger event
75d	• Other - please explain
76	What is the method used by the Entity to screen for adverse media / negative news?
77	Does the Entity have a risk based approach to screening customers and connected parties to determine whether they are PEPs, or controlled by PEPs?
77a	If Y, is this at:
77b	• Onboarding
77c	• KYC renewal
77d	• Trigger event
77e	• Other - please explain

78	What is the method used by the Entity to screen PEPs?
79	Does the Entity have policies, procedures and processes to review and escalate potential matches from screening customers and connected parties to determine whether they are PEPs, or controlled by PEPs?
80	Is KYC renewed at defined frequencies based on risk rating (Periodic Reviews)?
80a	If Y, select all that apply
80b	• Less than one year
80c	• 1-2 years
80d	• 3-4 years
80e	• 5 years or more
80f	• Trigger-based or perpetual monitoring reviews
80g	• Other
81	Does the Entity maintain and report metrics on current and past periodic or trigger event due diligence reviews?
81	From the list below, which categories of customers or industries are subject to EDD and/or are restricted, or prohibited by the Entity's FCC programme?
81a	• Arms, defence, military
81b	• Correspondent VASPS
81b1	• If EDD or restricted, does the EDD assessment contain the elements as set out in the Wolfsberg Correspondent Banking Principles 2014?
81c	• Darknet Market Operators
81d	• Embassies/Consulates
81e	• Extractive industries
81f	• Gambling
81g	• General Trading Companies
81h	• Marijuana-related Entities
81i	• MVTs/ MSB customers
81j	• Non-account customers
81k	• Non-Government Organisations
81l	• Non-resident customers
81m	• Nuclear power
81n	• Payment Service Provider
81o	• PEPs
81p	• PEP Close Associate
81q	• PEP Related

81r	• Precious metals and stones
81s	• Red light business / Adult entertainment
81t	• Regulated charities
81u	• Shell banks
81v	• Travel and Tour Companies
81w	• Unregulated charities
81x	• Used Car Dealers
81y	• Virtual Asset Service Providers
81z	• Other (specify)
82	Does EDD require senior business management and/or compliance approval?
82a	If Y, select from:
83	Does the Entity have specific procedures for onboarding entities that handle client assets such as VASPs, lawyers, accountants, consultants, real estate agents?
83a	If restricted, provide details of the restriction
84	Does the Entity perform an additional control or quality review on clients subject to EDD?
85	Confirm that all responses provided in the above Section are representative of all the LE's branches
85a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
85b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 8. MONITORING & REPORTING	
No #	Question
86	Does the Entity have risk based policies, procedures and monitoring processes for the identification
87	What is the method used by the Entity to monitor transactions for suspicious activities?
87a	• If manual or combination selected, specify what type of transactions are monitored manually
87b	• If automated, are internal system or vendor sourced tools used?
87b1	•• When were the automated Transaction Monitoring applications last calibrated?
87c	• If a vendor-sourced tools, what are the names of the vendors/tools?
87d	• When were the tools last updated?
88	Does the Entity have regulatory requirements to report suspicious transactions?
88a	• If Y, does the Entity have policies, procedures and processes to comply with suspicious transaction reporting requirements?
89	Does the Entity have policies, procedures and processes to review and escalate matters arising from the monitoring of customer transactions and activity?
90	Does the Entity have a data quality management programme to ensure that complete data for all transactions are subject to monitoring?

91	Does the Entity have processes in place to respond to Request For Information (RFIs) from other entities in a timely manner?
92	Does the Entity have processes in place to send Request For Information (RFIs) to their customers in a timely manner?
93	Does the Entity have processes in place to segregate and / or quarantine tokens that are linked to suspicious activity or provenance?
94	Confirm that all responses provided in the above Section are representative of all the LE's branches
94a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
94b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 9. PAYMENT TRANSPARENCY

No #	Question
95	Does the Entity adhere to guidance in respect of Recommendation 16 of the FATF Updated Guidance: A Risk Based Approach to Virtual Assets and Virtual Asset Service Providers?
96	Does the Entity have policies, procedures and processes to [reasonably] comply with and have controls in place to ensure compliance with:
96a	• FATF Recommendation 16
96b	• Local Regulations
96b1	•• Specify the regulation
96b2	If N, explain
97	Does the Entity onboard a counterparty VASP (Know Your VASP, KYV) prior to the sharing of originator and / or beneficiary details to a transaction?
98	Does the Entity have controls to support the inclusion of required and accurate originator information in cross border payment messages?
99	Does the Entity have controls to support the inclusion of required beneficiary information cross border payment messages?
99a	If Y, does the Entity have procedures to include beneficiary address including country in cross border payments?
100	Does the Entity have the procedures to make a Request for Further Information (RFFI) from a counterparty on a received payment message?
101	Does the Entity have processes and controls in place to support the name screening of received originator details against relevant sanctions lists?
102	Does the Entity have processes and controls in place to support the name screening of received beneficiary details against relevant sanctions lists?

103	Does the Entity have processes and controls in place to support the wallet screening of received originator details against relevant sanctions lists?
104	Does the Entity have processes and controls in place to support the wallet screening of received beneficiary details against relevant sanctions lists?
105	Does the Entity have processes and controls to prevent customer access to deposits and withdrawals prior to name and wallet screening processes completing
106	Does the Entity have procedures to allow for return of inbound payments?
107	Does the Entity follow best practice guidance on the storage of Travel Rule data, such as the GBBC Digital Finance Travel Rule Data Storage Principles?
107a	If Y, describe the data storage measures adopted
108	Which Travel Rule Solution Providers/Protocols (TRSPs) has the Entity integrated?
109	Confirm that all responses provided in the above Section are representative of all the LE's branches
109a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
109b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 10. SANCTIONS

No #	Question
110	Does the Entity have a Sanctions Policy approved by management regarding compliance with sanction
111	Does the Entity have policies, procedures, or other controls reasonably designed to prevent the use of another entity's accounts or services in a manner causing the other entity to violate sanctions prohibitions applicable to the other entity (including prohibitions within the other entity's local
112	Does the Entity have policies, procedures or other controls reasonably designed to prohibit and/or detect actions taken to evade applicable sanctions prohibitions, such as stripping, or the resubmission and/or masking, of sanctions relevant information in cross border transactions?
113	Does the Entity screen its customers, including beneficial ownership information collected by the Entity, during onboarding and regularly thereafter against Sanctions Lists?
114	What is the method used by the Entity for sanctions screening?
114a	• If automated, are internal system or vendor sourced tools used?
114a1	•• When were the automated screening applications last calibrated?
114b	• If a vendor-sourced tool, what is the name of the vendor/tool?
114c	• When was the tool last upgraded?

115	Does the Entity screen all sanctions relevant data, including at a minimum, entity and location information and wallet addresses contained in transactions against Sanctions Lists?
116	What is the method used by the Entity?
117	Does the Entity have a data quality management programme to ensure that complete data for all transactions are subject to sanctions screening?
118	Select the Sanctions Lists used by the Entity in its sanctions screening processes:
118a	• Consolidated United Nations Security Council Sanctions List (UN)
118b	• United States Department of the Treasury's Office of Foreign Assets Control (OFAC)
118c	• Office of Financial Sanctions Implementation HMT (OFSI)
118d	• European Union Consolidated List (EU)
118e	• Lists maintained by other G7 member countries
118f	• Other (specify)
119	When regulatory authorities make updates to their Sanctions list, how many business days before the entity updates their active manual and/or automated screening systems against:
119a	• Customer Data
119b	• Transactions
120	Does the Entity have appropriate controls to block access to products and services from countries sanctioned by the UN and other sanctions law applicable to the Entity
121	Confirm that all responses provided in the above Section are representative of all the LE's branches
121a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
121b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 11. TRAINING & EDUCATION

No #	Question
122	Does the Entity provide mandatory training, which includes :
122a	• Identification and reporting of transactions to government authorities
122b	• Examples of different forms of money laundering, terrorist financing and sanctions violations relevant for the types of products and services offered
122c	• Internal policies for controlling money laundering, terrorist financing and sanctions violations
122d	• New issues that occur in the market, e.g., significant regulatory actions or new regulations
122e	• Conduct and Culture
122f	• Anti-Bribery and Corruption
122g	• Fraud
123	Is the above mandatory training provided to :
123a	• Board and Senior Committee Management
123b	• 1st Line of Defence

123c	• 2nd Line of Defence
123d	• 3rd Line of Defence
123e	• 3rd parties to which specific FCC activities have been outsourced
123f	• Non-employed workers (contractors/consultants)
124	Does the Entity provide AML, CTF & Sanctions training that is targeted to specific roles, responsibilities and high risk products, services and activities?
124a	Does the Entity provide customised training for AML, CTF and Sanctions staff?
124a	• If Y, how frequently is training delivered?
125	Confirm that all responses provided in the above Section are representative of all the LE's branches
125a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
125b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 12. QUALITY ASSURANCE / COMPLIANCE TESTING

No #	Question
126	Does the Entity have a program wide risk based Quality Assurance programme for financial crime (separate to the independent Audit function)?
127	Does the Entity have a program wide risk based Compliance Testing process (separate to the independent Audit function)?
128	Confirm that all responses provided in the above Section are representative of all the LE's branches
128a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
128b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 13. AUDIT

No #	Question
129	In addition to inspections by the government supervisors/regulators, does the Entity have an internal
130	How often is the Entity audited on its AML, CTF, ABC, Fraud and Sanctions programme by the
130a	• Internal Audit Department
130b	• External Third Party
131	Does the internal audit function or other independent third party cover the following areas:
131a	• AML, CTF, ABC, Fraud and Sanctions policy and procedures

131b	• Enterprise Wide Risk Assessment
131c	• Governance
131d	• IT Security, including token and PII data storage and access
131e	• KYC / CDD / EDD and underlying methodologies
131f	• Name Screening & List Management
131g	• Outsourcing
131h	• Reporting/Metrics & Management Information
131i	• Suspicious Activity Filing
131j	• Technology
131k	• Transaction Monitoring
131l	• Transaction Screening including for sanctions
131m	• Training & Education
131n	• Other (specify)
132	Are adverse findings from internal & external audit tracked to completion and assessed for adequacy and completeness?
133	Confirm that all responses provided in the above Section are representative of all the LE's branches
133a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to.
133b	• If appropriate, provide any additional information / context to the answers in this section.

SECTION 14. DECLARATION STATEMENT

GBBC Digital Finance Virtual Asset Due Diligence Questionnaire 2023 (GDF VADDQ v1.2)

Declaration Statement (To be signed by the Chief Compliance Officer or Money Laundering Reporting Officer)

[Entity name] is fully committed to the fight against financial crime and makes every effort to remain in compliance. The Entity understands the critical importance of having effective and sustainable controls to combat financial crime.

The Entity recognises the importance of transparency regarding parties to transactions in international payments.

The Entity further certifies that information provided in this GDF VADDQ will be kept current and will be updated as necessary.

The Entity commits to file accurate supplemental information on a timely basis.

I, **[Full Name of MLRO or equivalent]**, certify that I have read and understood this declaration, that the

Signature

Date

(the entity performing the due diligence). The DDQ remains neutral on risk as:
cific requirements, as long as it remains in accordance with the CC license co
will be assigned meaning by the DDQ Issuing Entity's risk appetite and not simr

DDQ.

; BUT NOT LIMITED TO THE WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE AND NONINFRINGEMENT. IN NO EVENT SHALL THE AUTHOR BE LIABLE FOR ANY CLAIM, DAMAGES OR OTHER LIABILITY, WHETHER IN AN ACTION OF CONTRACT, TORT OR OTHERWISE, ARISING FROM, OUT OF OR IN CONNECTION WITH THE SOFTWARE OR THE USE OR OTHER DEALINGS IN THE SOFTWARE.

7). Where there local jurisdictions with differences in language, requirements

Group for permitting the use of Correspondent Banking Due Diligence Questic

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

olicies and practices. It may be used by VASPs onboarding counterparty VASPs,

essment or scoring methodology to permit the DDQ Issuing Entity to assess
onditions detailed below.

mply due to answering 'Yes', 'No' or 'N/A'. Where available, any clarifications or

DDQ without restriction, including without limitation the rights to use, copy,

IESS FOR A PARTICULAR PURPOSE AND NONINFRINGEMENT. IN NO
HERWISE, ARISING FROM, OUT OF OR IN CONNECTION WITH THE DDQ

or content this questionnaire can be customised to meet those needs.

onnaire upon which this VA Due Dlligence Questionnaire is based.

Guidance

Also referred to as company name

Most VASPs will have multiple legal entities rather than branches, hence this question may not be applicable in most cases and may require that DDQ be completed at each entity level. However, the following is a broad guidance for entities with foreign branches:

a) Include the Legal Entity's foreign branches, unless there is a branch which has different business activities/users or does not follow the same Financial Crime Compliance Programme.

b) List all branches acting as responding entities, including full name and country of location.

Registered address for the Legal Entity, also known as address of incorporation.

Address where the Entity is primarily physically located (similar to principal business address or address of residence). If there should be discrepancy between the primary and registered address, commentary may be added in the Notes

Provide the date of incorporation. If the full date is not available, provide the year and explain why the full date is not available in the Notes

N/A
Ownership chart means a visual representation of the ownership structure, including percentage of ownership and the full name of all parent entities and ultimate beneficial owners
Entity is publicly traded if 25% or more of its ordinary shares or common stock are listed on a stock exchange
Provide the full names of all the stock exchanges where the ordinary shares/common stock are primary listed along with the unique ID used by each stock exchange to identify the security.
Mutual Societies are organisations owned by their members and managed for their benefit, such as a building society, friendly society, credit union, registered society (including: co-operative societies, industrial and provident societies, community
If Entity is owned 25% or more by a government state-owned body or state agency (directly or indirectly) for the purpose of performing state-related activity versus an investment stake
N/A
Provide immediate and ultimate shareholders(legal entities and natural persons) full names and percentage held.
A foundation is a non profit corporation or a charitable trust that typically provides grants to organizations, institutions, or individuals for charitable purposes. A trust is a legal entity that acts as a fiduciary, agent, or trustee on behalf of a person or business for the purpose of administering, managing and eventually transferring the assets to a beneficial owner or party. A not- for- profit organisation does not earn profit for its owners. All money earned through running of the business activities or through donations tend to
N/A
N/A
Are share certificates issued in bearer form? Ownership is signified by possession of certificates issued to "bearer".
This is the regulator with primary responsibility for oversight of anti-money laundering, counter terrorist finance and other types of financial crime compliance
NA
This means registered in the country where primary business activities are carried out and where the entity is incorporated

This refers to entities that have been granted an exemption from holding a licence under a specific legislation e.g. under the Payment Services Act ("PS Act") in Singapore for the specific regulated activities or payment services for a specified period. Such exemptions typically expires after a specified period.
NA
Licensed (Regulated) or registered with the competent authority to carry out virtual asset services, in the jurisdictions where business activities are carried out
NA
NA
NA
NA
NA
A Legal Entity Identifier (or LEI), is a 20-character identifier that identifies distinct legal entities that engage in financial transactions. It is defined by the International Organization for Standardization (ISO) 17442
Provide the name of the entity that effectively holds/controls majority voting power over the responding party.
If applicable, country in which the primary financial regulator/supervisory authority of the ultimate parent is established
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
In a centralised set up, strategic planning, goal setting, budgeting, and talent deployment are typically conducted by a senior leader or leadership team.
In decentralized organizations, formal decision-making power is distributed across multiple individuals or teams.
NA

Include the number of full time employees(FTE) of the Entity and any applicable branches. The Entity should aim to include the most accurate figure although it is understood that there may be a small variance for larger Entities.

Provide the Total Assets per the Entity's latest audited balance sheet, including any applicable branches. The Entity should aim to include the most accurate figure although the Group understand that there may be a small variance for larger Entities.

NA

NA

NA

NA

NA

Guidance

A VASP that is providing its services to other VASPs

N/A

This means does the Entity provide services to banks, NBFIs, or other VASPs who themselves have user relationships that would be subject to AML/CFT regulation

N/A

N/A

This means does the Entity provide services to MSBs/MVTS who themselves have user relationships that would be subject to AML/CFT regulation

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

“Policies” establishes the principles to be adhered to in order to ensure effective risk management, aligned to the three Lines of Defence model. Procedures” support the implementation of the policy by providing detailed requirements that must be adhered to. Furthermore, this question assumes the inclusion of the 3 lines of defence model. If for any reason this is not in place the an explantion and associaeted mitgaitions need to be include in the answer to this question
N/A
N/A
Assessment of the inherent money laundering, terrorism financing, sanctions and bribery and corruption risks, present within the Entity (customers, geography, products, channels), as well as the mitigating controls implemented to manage those risks, resulting in a residual risk rating. This also includes any 3rd party solutions for risk assesemnet data or risk aasement solutions.
N/A
N/A
Refers to activities delivered either internally or by a third party, designed to
Refers to monitoring of money laundering typologies, such as smurfing, money mule activitiy, etc.
If the Entity is required to comply with the FATF Travel Rule, or is voluntarily doing so, and has policies and procedures in place then respond Yes
Refers to policies and procedures in place for dealing with unhosted wallets.
Refers to the use of Blockchain Analytics software to monitor for the risk of virtual asset addresses
N/A
This question excludes contractors and temporary staff and is only concerned with AML and Sanctions full time employees or equivalent in the second line of defence
N/A
Policy may be maintained at the Entity or the Entity’s parent level – answer for the policy applied by the Entity completing the questionnaire. If the Entity answer is “No” add context in the Notes field
“Reporting” means Management Information (MI) which is reported to Senior Management by way of presentation slides, metrics and/or discussions which can be evidenced via minutes.
“Third party” means a different legal entity. This could be either related or unrelated to the responding Entity (i.e. either another entity in the same group or a third party). Provide the response based on the third party performing activities on behalf of the Entity, where the Entity remains accountable for the activity from a regulatory perspective
Explain what is done by the third party, its responsibilities, details of the location where the third party is based, if it is regulated and by whom, if it is related to the Entity. Confirm if the third party is subject to the same governance, policies and procedures as the Entity.

NA
NA
NA
NA

Guidance
“Reasonably” refers to the ability to reduce the exposure to bribery and corruption versus the ability to eradicate all risks.
“Enterprise wide” refers to a programme which covers all relevant functions and activities which may be impacted by bribery and corruption risks, including branches and any businesses under the Entity’s responsibility. Refer to the programme which is currently in place whether imposed by the parent company or designed by the Entity itself.
Has the entity assigned accountability for the ABC programme to an appropriate individual? “Sufficient experience/expertise” is based on local regulatory expectations and industry standards in the jurisdiction where the Entity is based. Consider the type of role previously undertaken and length of time in the Virtul Asset and Financial Industry Compliance sector
Adequate staff” refers to the number of employees to address all the activities required under the ABC programme. “Sufficient experience/expertise” is based on the local regulatory expectations and industry standards in the Jurisdiction where the Entity is based.
NA
NA
NA
Interactions with public officials can be considered to pose a higher risk of bribery and corruption
“Books” refers to financial accounts. “Records” refer to any records retained for audit purposes.
“Monitor the effectiveness” refers to testing and oversight that the Entity has
“Reporting” means Management Information (MI) which is reported to Senior
NA
NA

NA
NA
NA
NA
NA
Respond to this question taking into account the Board responsible for the responding Entity (which may be the Board of the parent).
NA
NA
NA
Means training provided to third parties which currently perform ABC activities on behalf of the Entity.
NA
NA
NA
NA
NA

Guidance
NA
NA
NA
NA
NA
Has the Entity performed a gap analysis against US regulations, over and above local regulatory and legal requirements?

No further guidance required
Has the Entity performed a gap analysis against Europe regulations, over and above local regulatory and legal requirements?
NA
NA
NA
NA
NA
NA
NA
NA
NA
NA
See Section 7 regards enhanced due diligence steps for high risk clients. VASP should have a process in place to onboard, monitor and update risks associated with high risk clients
The VASP should provide procedures and TORs for relevant governance committees and escalation points for high risk clients as well as the criteria for escalation
Does the Entity incorporate procedures (acting as controls) which trigger client exits, heightened monitoring or watchlist entries. This is where the user is deemed to be outside the risk tolerance of the Entity
Does the Entity incorporate procedures (acting as controls) which trigger client exits, heightened monitoring or watchlist entries. This relates on the grounds of suspicion or knowledge.
Are the VASP's systems built to document high risk, exited users so as to prevent future re-onboarding.
VASPs that transact with unhosted wallets should have policies and controls that define how the AML, CTF and Sanctions risk is assessed and managed.
NA
NA
Risk tolerance/risk appetite statement documents the level of the exposure beyond which the Entity is not prepared to accept
Documented procedures outlining the minimum period for which records must be kept, e.g. including customer due diligence information, outcome of screening controls, escalation and decisions made by Senior Management and others.
NA
NA
NA
NA

Guidance
Refers to the Entity's book and all its clients/customers.
All products provided by the Entity, directly or via third parties.
Includes Unhosted or hosted wallets and fiat off or on ramps
Means the ways which the services are provided, e.g. face to face,
Means the jurisdictions to which the Entity has exposure via its clients, physical
Control effectiveness is an assessment to determine how well controls are
Effective program to monitor ongoing transaction monitoring to include robust
See Section 8
See Section 7
See Section 10
See Section 7
See Section 11
Means AML & CTF governance controls effectiveness, e.g. paths of escalation, the collection and dissemination of Management Information, effectiveness of actions taken to enhance its governance, among other aspects.
NA
VASPs should have policies and procedures in place that govern how new virtual assets are listed, such as risk assessment, decision making, and monitoring. This should extend to policy for when a token should be delisted when outside the VASPs risk appetite.
VASPs should have an outsourcing policy that governs how third parties are selected, the due diligence carried out, access to information, monitoring, etc. The VASP should retain ultimate responsibility and accountability for the function outsourced.
NA
NA
Refers to the Entity's book and all its clients/customers.
All products provided by the Entity, directly or via third parties.
Includes Unhosted or hosted wallets and fiat off or on ramps
Means the ways which the services are provided, e.g. face to face,
Means the jurisdictions to which the Entity has exposure via its clients, physical presence and services provided.
NA
NA
NA
NA

NA
NA
NA
NA
NA
NA
NA
NA

Guidance
“Verification of identity” refers to the requirement to evidence the information provided by/on behalf of the user during CDD, as required.
NA
In context of virtual assets, most customer relationships will be Non Face-to-
NA
NA
NA
NA
NA
NA
NA
This may include volumes, types of transactions, jurisdictions, frequency, products, values.
All types of revenue generating activity provided/performed by the user.
NA
Type and level (e.g. value/volume) of utilisation of products
The reason for the establishment of the relationship and the type of relationship such as investment banking or private banking.
NA
NA
NA
This question is asking if the Entity verifies ultimate beneficial owners within the ownership/control threshold set by the Entity, e.g. 25% or more, 10% or more, etc
NA

NA
Any other entity or individual which otherwise holds a significant ownership or controlling interest in the customer, e.g. authority to act on behalf of the customer.
Indicate the Entity's lowest ownership/control threshold obtained from its customers, based on the Entity's risk appetite. "Lowest" refers to the ownership threshold applied to the highest risk customer rating the Entity implements.
"Risk classification" refers to the customer receiving a risk score or rating when assessing potential financial crime risk exposure.
NA
NA
NA
NA
NA
Whether the interaction with the customer is in person or remote and online.
NA
Additional verifications could include biometric checks, geolocation measures and liveness tests.
NA
Periodic, ongoing KYC/CDD review of existing customers/clients.
A trigger event is some new event or piece of information that alters the information in the CDD record and would cause it to be reviewed e.g. significant negative media, or disclosure of a regulatory order
NA
Automated/Manual/Combination: Automated is typically achieved through a regular automated feed of data into a screening tool which will perform name match checks against the data and generate 'alerts' for VASP staff to review. Manual is in reference to screening that is not automated. Combination is a mix of automated and manual.
Means a documented process in the Entity's policies and procedures setting out how an employee can escalate screening hits related to PEPs and PEP exposure.
NA
Periodic, ongoing KYC/CDD review of existing customers/clients.
A trigger event is some new event or piece of information that alters the information in the CDD record and would cause it to be reviewed e.g. significant negative media, or disclosure of a regulatory order
NA

Automated/Manual/Combination: Automated is typically achieved through a regular automated feed of data into a screening tool which will perform name match checks against the data and generate 'alerts' for VASP staff to review. Manual is in reference to screening that is not automated. Combination is a mix

Means a documented process in the Entity's policies and procedures setting out how an employee can escalate screening hits related to PEPs and PEP exposure

This question focuses on the governance of periodic and trigger event KYC/CDD reviews of the Entity's customers base, so that Senior Management are made aware of control issues eg delays, back logs.

NA

NA

NA

NA

NA

NA

NA

A correspondent relationship means the provision of services by one Virtual Asset Service Provider to another Virtual Asset Service Provider or Financial Institution

NA

NA

A darknet market is a commercial website that operates on darkweb which is characterized as decentralized, unindexed unregulated area of the Internet only accessible via certain browsers.

NA

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NA
Please name the solutions that have been integrated and that the Entity is able to use to send / receive Travel Rule information
NA
NA
NA

Guidance
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Guidance
This question focuses on both systematic regulatory transactional reporting obligations and suspicious activity reporting
NA
NA
NA
Conduct and Culture in this context refers to regulatory requirements around behaviour from a financial crime risk management perspective.
NA
NA
NA
NA

In some Virtual Asset firms it is recognised that the three lines of defence model may be compressed into one or two lines
Comment as per 123c
Answer "Yes" if the Entity provides training to the 3rd party performing financial crime compliance activities on their behalf. Or Also answer "Yes" if the Entity has oversight of the 3rd party's training programme for financial crime compliance and is comfortable that it complies with the Entity's requirements?
NA
NA
AML and Sanctions staff includes all full time employees, as well as contractors and temporary staff, from both 1st and 2nd line of defence. "Customised" refers to a training programme tailored to the role and responsibilities that the <u>employee undertakes</u> .
NA
NA
NA
NA

Guidance
NA
NA
NA
NA
NA

Guidance
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NA



ards in all of the jurisdictions in which it does business and holds accounts. The obligations.

st belief, and that I am authorised to execute this declaration on behalf of the

GBBC Digital Finance Virtual Asset Due Diligence Questionnaire 2022 (GDF VADDQ v1.2)

The Anti-Money Laundering Due Diligence Questionnaire for Virtual Asset Service Providers (VASPs) has been developed as part of the programme's due diligence requirements for a particular VASP. However, institutions are responsible for ensuring that they determine the exact manner in which the Questionnaires are utilised in their AML programme.

In responding to the questions it should be emphasised that a "No" response does not imply that the response "Not applicable".

Where appropriate there is the option to select "Not applicable to the Entity" or "Not applicable in the Entity's jurisdiction".

Any clarifications or additional details can be recorded in the "Notes" column.

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This document is a global document and deliberately uses the language of the Financial Action Task Force (FATF) Recommendations.

The GDF VADDQ is based upon the work of the Wolfsberg Group and acknowledges and thanks the Wolfsberg Group for their contribution.

The questionnaire is required to be answered on a Legal Entity level. This means the VASP will answer the questions from the perspective of the Legal Entity. If there are multiple branches, please complete a branch level questionnaire.

This questionnaire should not cover more than one Legal Entity.

Each question in this due diligence questionnaire will need to be addressed from the perspective of the Legal Entity. If there are multiple branches, please capture the difference at the end of each subsection. If a branch business activity (products offered, client base etc.) is different, please capture the difference.

SECTION 1. ENTITY & OWNERSHIP

No #	Question
1	Legal Name
2	Append a list of foreign branches which are covered by this questionnaire
3	Full Legal (Registered) Address.
4	Full Primary Business Address (if different from Registered Address above).
5	Date of Entity Incorporation / Establishment.

6	Incorporation Number, if available.
7a	Select type of ownership and append an ownership chart if available:
7b	Publicly Traded (25% of shares publicly traded)
7b1	If Y, indicate the exchange traded on and ticker symbol
7c	Member Owned / Mutual
7d	Government or State Owned by 25% or more
7e	Privately Owned
7e1	If Y, provide details of shareholders or ultimate beneficial owners with a holding of 10% or more
7f	Foundation / Not-for-Profit / Trust
7g	Other
7g1	If Other, specify
8	Percentage of the Entity's total shares composed of bearer shares
9	Name of primary financial regulator / supervisory authority
10	Select the Entity's primary regulatory License / Registration status
10a	No license / registration required
10b	Registered

10c	• Temporary license exemption
10d	• License application in progress
10e	• Licensed
11	If licensed or registered, provide the primary License / Registration Number(s) in the Entity's primary
12	Provide a list of jurisdictions, other than the primary jurisdiction, where the Entity has been granted
13	Please provide a list of jurisdictions, other than those mentioned in 1l and 1m, where the Entity
14	Has the Entity been subject or is subject to any regulatory sanctions or improvement orders?
14a	• If Yes, provide details
15	Provide Legal Entity Identifier (LEI) if available
16	Provide the full legal name of the ultimate parent (if different from the Entity completing the DDQ)
17	Jurisdiction of licensing authority and regulator of ultimate parent, if applicable
18	Select the business areas applicable to the Entity
18a	• Exchange between virtual assets and fiat currencies
18b	• Exchange between one or more forms of virtual assets
18c	• Transfer of virtual assets
18d	• Safekeeping and/or administration of virtual assets or instruments enabling control over virtual
18e	• Participation in and provision of financial services related to an issuer's offer and/or sale of a virtual
18f	• Other
18f1	•• If Other, provide details.
19	Would the Entity be described as
19a	• Centralised
19b	• Decentralised
19b1	If Decentralised, provide details
20	Provide the top five countries where the Entity's customers are located.
21	Select the closest value

21a	• Number of Employees
21b	• Total Assets (USD equivalent)
22	Does the Entity have a physical presence (e.g., branches, subsidiaries, or representative offices) in countries / regions against which the UN and/or OFAC have enacted comprehensive jurisdiction-based Sanctions ?
23	Does the Entity have offshore customers domiciled in countries / regions against which the UN and/or OFAC have enacted comprehensive jurisdiction-based Sanctions ?
24	Confirm that all responses provided in the above Section are representative of all the LE's branches
24a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
24b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 2. PRODUCTS & SERVICES

No #	Question
25	Does the Entity offer the following products and services:
25a	• Intermediary VASP
25a1	If Y
25a2	• Does the Entity offer Intermediary VASP services?
25a3	• Does the Entity allow banks, NBFIs, or other VASP clients to provide downstream relationships?
25a4	• Does the Entity have processes and procedures in place to identify downstream relationships with banks, NBFIs, or other VASPs?
25a5	• Does the Entity offer Intermediary VASP services to regulated MSBs/MVTS?
25a6	• Does the Entity allow downstream relationships with MSBs/MVTS?
25a7	• Does the Entity have processes and procedures in place to identify downstream relationships with MSB/MVTS?
25b	• Cross Border Remittances
25c	• Low Price Securities
25d	• Payment services to non-bank entities who may then offer third party payment services to their
25d1	In Y, please select all that apply
25d2	• Third Party Payment Processors
25d3	• Third Party Payment Service Providers
25d4	• Virtual Asset Service Providers
25d5	• eCommerce Platforms
25d6	• Other- please explain
25e	• Peer-to-peer exchange
25f	• Private Banking

25g	• Remote Deposit Capture
25h	• Sponsoring Private ATMs
25i	• Stored Value Instruments
25j	• Trade Finance
25k	• Virtual asset ATMs
25l	• Virtual asset deposits or withdrawals to / from a bank account not verified as under the customer's
25m	• Virtual asset deposits or withdrawals to / from a wallet not verified as under the customer's control
25n	• Virtual asset exchange involving privacy-preserving Virtual Assets
25o	• Virtual asset issuance, fund raising, or collection of funds for Initial Coin Offerings (ICO) / Initial Exchange Offerings (IEO) / Security Token Offerings (STO) / Private Token Sales
25p	• Virtual asset omnibus or co-mingled custodial wallets
25q	• Virtual asset OTC trading for non-account holders
25r	• Unregulated Investment Funds
25s	• Other high risk products and services identified by the Entity
26	Confirm that all responses provided in the above Section are representative of all the LE's branches
26a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
26b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 3. AML, CTF & SANCTIONS PROGRAMME

No #	Question
27	Does the Entity have a programme that sets minimum AML, CTF and Sanctions standards regarding
27a	• Appointed Officer with sufficient experience/expertise
27b	• Adverse Information Screening
27c	• Beneficial Ownership
27d	• Cash Reporting
27e	• CDD
27f	• EDD
27g	• Independent Testing
27h	• Market Manipulation / Abuse Monitoring
27i	• Outsourcing
27j	• Periodic Review

27k	• Policies and Procedures
27l	• PEP Screening
27m	• Record Keeping
27n	• Risk Assessment
27o	• Sanctions
27p	• Suspicious Activity Reporting
27q	• Training and Education
27r	• Transaction Monitoring
27s	• Travel Rule
27t	• Unhosted Wallets
27u	• Wallet Address Screening and Monitoring (Blockchain Analytics)
28	Is the size and capability of the Entity's AML, CTF & Sanctions Compliance Department
29	How many full time employees are in the Entity's AML, CTF & Sanctions Compliance Department?
30	Please attach an organisation chart for your compliance department
31	Is the Entity's AML, CTF & Sanctions policy approved at least annually by the Board or equivalent Senior Management Committee?
32	Does the Board or equivalent Senior Management Committee receive regular reporting on the status of the AML, CTF & Sanctions programme AND demonstrate oversight over the programme?
33	Does the Entity use third parties to carry out any components of its AML, CTF & Sanctions programme?
33a	If Yes, please provide further details

34	Does the entity have a whistle-blower policy
35	Confirm that all responses provided in the above Section are representative of all the LE's branches
35a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
35b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 4. ANTI BRIBERY & CORRUPTION (ABC)

No #	Question
36	Has the Entity documented policies and procedures consistent with applicable ABC regulations and requirements to reasonably prevent, detect and report bribery and corruption?
37	Does the Entity have an enterprise wide programme that sets minimum ABC standards?
38	Has the Entity appointed a designated officer or officers with sufficient experience/expertise responsible for coordinating the ABC programme?
39	Does the Entity have adequate staff with appropriate levels of experience/expertise to implement the ABC programme?
40	Is the Entity's ABC programme applicable to:
40a	• Joint ventures
40b	• Third parties acting on behalf of the Entity
41	Does the Entity have a global ABC policy that:
41a	• Prohibits the giving and receiving of bribes? This includes promising, offering, giving, solicitation or
41b	• Includes enhanced requirements regarding interaction with public officials?
41c	• Includes a prohibition against the falsification of books and records (this may be within the ABC policy or any other policy applicable to the Legal Entity)?
42	Does the Entity have controls in place to monitor the effectiveness of their ABC programme?
43	Does the Entity's Board or Senior Management Committee receive regular Management Information
44	Has the Entity's ABC EWRA been completed in the last 12 months?
44a	If N, provide the date when the last ABC EWRA was completed.

45	Does the Entity have an ABC residual risk rating that is the net result of the controls effectiveness and
46	Does the Entity's ABC EWRA cover the inherent risk components detailed below:
46a	• Potential liability created by intermediaries and other third-party providers as appropriate
46b	• Corruption risks associated with the countries and industries in which the Entity does business, directly or through intermediaries
46c	• Transactions, products or services, including those that involve state-owned or state controlled entities or public officials
46d	• Corruption risks associated with gifts and hospitality, hiring/internships, charitable donations and political contributions
46e	• Changes in business activities that may materially increase the Entity's corruption risk
47	Does the Entity's internal audit function or other independent third party cover ABC Policies and Procedures?
48	Does the Entity provide mandatory ABC training to:
48a	• Board and Senior Committee Management.
48b	• 1st Line of Defence
48c	• 2nd Line of Defence
48d	• 3rd Line of Defence
48e	• 3rd parties to which specific compliance activities subject to ABC risk have been outsourced
48f	• Non-employed workers as appropriate (contractors/consultants)
49	Does the Entity provide ABC training that is targeted to specific roles, responsibilities and activities?
50	Confirm that all responses provided in the above Section are representative of all the LE's branches
50a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
50b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 5: AML, CTF & SANCTIONS POLICIES & PROCEDURES	
No #	Question
51	Has the Entity documented policies and procedures consistent with applicable AML, CTF & Sanctions
51a	• Money laundering
51b	• Terrorist financing
51c	• Sanctions violations
52	Are the Entity's policies and procedures updated at least annually?
53	Has the Entity chosen to compare its policies and procedures against:
53a	US Standards

53a1	If Y, does the Entity retain a record of the results?
53b	EU Standards
53b1	If Y, does the Entity retain a record of the results?
54	Does the Entity have policies and procedures that:
54a	• Prohibit the opening and keeping of anonymous and fictitious named accounts
54b	• Prohibit the opening and keeping of accounts for unlicensed banks and/or NBFIs
54c	• Prohibit dealing with other entities that provide banking services to unlicensed banks
54d	• Prohibit accounts/relationships with shell banks
54e	• Prohibit dealing with another entity that provides services to shell banks
54f	• Prohibit opening and keeping of accounts for Section 311 designated entities
54g	• Prohibit opening and keeping of accounts for any of unlicensed/unregulated remittance agents,
54h	• Prohibit the opening of accounts with unlicensed or unregistered VASPs?
54i	• Prohibit the opening of accounts specifically disallowed by jurisdictions in which the entity operates,
54j	• Assess the risks of relationships with domestic and foreign PEPs, including their family and close associates
54k	• Define the process for escalating financial crime risk issues/potentially suspicious activity identified by employees
54l	• Define the process, where appropriate, for terminating existing customer relationships due to financial crime risk
54m	• Define the process for exiting clients for financial crime reasons that applies across the entity, including foreign branches and affiliates
54n	• Define the process and controls to identify and handle customers that were previously exited for financial crime reasons if they seek to re establish a relationship
54o	• Define the process and controls assess the risk and handle transactions with unhosted virtual asset w
54p	• Outline the processes regarding screening for sanctions, PEPs and negative media
54q	• Outline the processes for the maintenance of internal "watchlists"
55	Has the Entity defined a risk tolerance statement or similar document which defines a risk boundary around their business?
56	Does the Entity have a record retention procedures that comply with applicable laws?
56a	If Y, what is the retention period?
57	Confirm that all responses provided in the above Section are representative of all the LE's branches
57a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to.
57b	• If appropriate, provide any additional information / context to the answers in this section.

--	--

SECTION 6. AML, CTF & SANCTIONS RISK ASSESSMENT

No #	Question
58	Does the Entity's AML & CTF EWRA cover the inherent risk components detailed below:
58a	• Client
58b	• Product
58c	• Transaction
58d	• Channel
58e	• Geography
59	Does the Entity's AML & CTF EWRA cover the controls effectiveness components detailed below:
59a	• Transaction Monitoring
58b	• Customer Due Diligence
59c	• PEP Identification
59d	• Transaction Screening
59e	• Name Screening against Adverse Media & Negative News
59f	• Training and Education
59g	• Governance
59h	• Management Information
59i	• Token Listing / Delisting Policy
59j	• Third Parties and Outsourcing.
60	Has the Entity's AML & CTF EWRA been completed in the last 12 months?
60a	If N, provide the date when the last AML & CTF EWRA was completed.
61	Does the Entity's Sanctions EWRA cover the inherent risk components detailed below:
61a	• Client
61b	• Product
61c	• Transaction
61d	• Channel
61e	• Geography
62	Does the Entity's Sanctions EWRA cover the controls effectiveness components detailed below:
62a	• Customer Due Diligence
62b	• Governance
62c	• List Management
62d	• Management Information

62e	• Name Screening
62f	• Transaction Screening
62g	• Training and Education
63	Has the Entity's Sanctions EWRA been completed in the last 12 months?
63a	If N, provide the date when the last Sanctions EWRA was completed.
64	Confirm that all responses provided in the above Section are representative of all the LE's branches
64a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to.
64b	• If appropriate, provide any additional information / context to the answers in this section.

SECTION 7. KYC, CDD and EDD

No #	Question
65	Does the Entity verify the identity of the customer?
66	Do the Entity's policies and procedures set out when CDD must be completed, e.g. at the time of
67	Are the majority of the Entity's customer relationships Face-to-Face or Non Face-to-Face
67a	If majority Non Face-to-Face, does the Entity use any of the following to enhance verification:
67b	• Biometric solutions on identity documents
67c	• Biometric solutions on natural persons
67d	• Liveness testing on natural persons
67e	• GeoIP detection on the location on natural persons
67f	• Duplicate account detection
68	If majority Non Face-to-Face, are CDD records manually reviewed prior to a first transaction taking
69	Which of the following does the Entity gather and retain when conducting CDD? Select all that apply:
69a	• Customer identification
69b	• Expected activity
69c	• Nature of business/employment
68d	• Ownership structure
69e	• Product usage
69f	• Purpose and nature of relationship
69g	• Source of funds
69h	• Source of wealth
70	Are each of the following identified:
70a	• Ultimate beneficial ownership
70a1	•• Are ultimate beneficial owners verified?
70b	• Authorised signatories (where applicable)

70c	• Key controllers
70d	• Other relevant parties
71	What is the Entity's minimum (lowest) percentage threshold applied to beneficial ownership identification?
72	Does the due diligence process result in customers receiving a risk classification?
73	If Y, what factors/criteria are used to determine the customer's risk classification? Select all that apply:
73a	• Product Usage
73b	• Geography
73c	• Business Type/Industry
73d	• Legal Entity type
73e	• Adverse Information
73f	• Nature of Interaction (i.e. Face-to-Face vs Non Face-to-Face)
73g	• Other (specify)
74	For high risk non-individual customers, what additional verifications are performed?
75	If yes, when are these additional verifications performed?
75a	• Onboarding
75b	• KYC renewal
75c	• Trigger event
75d	• Other - please explain
76	What is the method used by the Entity to screen for adverse media / negative news?
77	Does the Entity have a risk based approach to screening customers and connected parties to determine whether they are PEPs, or controlled by PEPs?
77a	If Y, is this at:
77b	• Onboarding
77c	• KYC renewal
77d	• Trigger event
77e	• Other - please explain

78	What is the method used by the Entity to screen PEPs?
79	Does the Entity have policies, procedures and processes to review and escalate potential matches from screening customers and connected parties to determine whether they are PEPs, or controlled by PEPs?
80	Is KYC renewed at defined frequencies based on risk rating (Periodic Reviews)?
80a	If Y, select all that apply
80b	• Less than one year
80c	• 1-2 years
80d	• 3-4 years
80e	• 5 years or more
80f	• Trigger-based or perpetual monitoring reviews
80g	• Other
81	Does the Entity maintain and report metrics on current and past periodic or trigger event due diligence reviews?
81	From the list below, which categories of customers or industries are subject to EDD and/or are restricted, or prohibited by the Entity's FCC programme?
81a	• Arms, defence, military
81b	• Correspondent VASPS
81b1	• If EDD or restricted, does the EDD assessment contain the elements as set out in the Wolfsberg Correspondent Banking Principles 2014?
81c	• Darknet Market Operators
81d	• Embassies/Consulates
81e	• Extractive industries
81f	• Gambling
81g	• General Trading Companies
81h	• Marijuana-related Entities
81i	• MVTs/ MSB customers
81j	• Non-account customers
81k	• Non-Government Organisations
81l	• Non-resident customers
81m	• Nuclear power
81n	• Payment Service Provider
81o	• PEPs
81p	• PEP Close Associate
81q	• PEP Related

81r	• Precious metals and stones
81s	• Red light business / Adult entertainment
81t	• Regulated charities
81u	• Shell banks
81v	• Travel and Tour Companies
81w	• Unregulated charities
81x	• Used Car Dealers
81y	• Virtual Asset Service Providers
81z	• Other (specify)
82	Does EDD require senior business management and/or compliance approval?
82a	If Y, select from:
83	Does the Entity have specific procedures for onboarding entities that handle client assets such as VASPs, lawyers, accountants, consultants, real estate agents?
83a	If restricted, provide details of the restriction
84	Does the Entity perform an additional control or quality review on clients subject to EDD?
85	Confirm that all responses provided in the above Section are representative of all the LE's branches
85a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
85b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 8. MONITORING & REPORTING	
No #	Question
86	Does the Entity have risk based policies, procedures and monitoring processes for the identification
87	What is the method used by the Entity to monitor transactions for suspicious activities?
87a	• If manual or combination selected, specify what type of transactions are monitored manually
87b	• If automated, are internal system or vendor sourced tools used?
87b1	•• When were the automated Transaction Monitoring applications last calibrated?
87c	• If a vendor-sourced tools, what are the names of the vendors/tools?
87d	• When were the tools last updated?
88	Does the Entity have regulatory requirements to report suspicious transactions?
88a	• If Y, does the Entity have policies, procedures and processes to comply with suspicious transaction reporting requirements?
89	Does the Entity have policies, procedures and processes to review and escalate matters arising from the monitoring of customer transactions and activity?
90	Does the Entity have a data quality management programme to ensure that complete data for all transactions are subject to monitoring?

91	Does the Entity have processes in place to respond to Request For Information (RFIs) from other entities in a timely manner?
92	Does the Entity have processes in place to send Request For Information (RFIs) to their customers in a timely manner?
93	Does the Entity have processes in place to segregate and / or quarantine tokens that are linked to suspicious activity or provenance?
94	Confirm that all responses provided in the above Section are representative of all the LE's branches
94a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
94b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 9. PAYMENT TRANSPARENCY

No #	Question
95	Does the Entity adhere to guidance in respect of Recommendation 16 of the FATF Updated Guidance: A Risk Based Approach to Virtual Assets and Virtual Asset Service Providers?
96	Does the Entity have policies, procedures and processes to [reasonably] comply with and have controls in place to ensure compliance with:
96a	• FATF Recommendation 16
96b	• Local Regulations
96b1	•• Specify the regulation
96b2	If N, explain
97	Does the Entity onboard a counterparty VASP (Know Your VASP, KYV) prior to the sharing of originator and / or beneficiary details to a transaction?
98	Does the Entity have controls to support the inclusion of required and accurate originator information in cross border payment messages?
99	Does the Entity have controls to support the inclusion of required beneficiary information cross border payment messages?
99a	If Y, does the Entity have procedures to include beneficiary address including country in cross border payments?
100	Does the Entity have the procedures to make a Request for Further Information (RFFI) from a counterparty on a received payment message?
101	Does the Entity have processes and controls in place to support the name screening of received originator details against relevant sanctions lists?
102	Does the Entity have processes and controls in place to support the name screening of received beneficiary details against relevant sanctions lists?

103	Does the Entity have processes and controls in place to support the wallet screening of received originator details against relevant sanctions lists?
104	Does the Entity have processes and controls in place to support the wallet screening of received beneficiary details against relevant sanctions lists?
105	Does the Entity have processes and controls to prevent customer access to deposits and withdrawals prior to name and wallet screening processes completing
106	Does the Entity have procedures to allow for return of inbound payments?
107	Does the Entity follow best practice guidance on the storage of Travel Rule data, such as the GBBC Digital Finance Travel Rule Data Storage Principles?
107a	If Y, describe the data storage measures adopted
108	Which Travel Rule Solution Providers/Protocols (TRSPs) does the Entity support?
109	Confirm that all responses provided in the above Section are representative of all the LE's branches
109a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
109b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 10. SANCTIONS

No #	Question
110	Does the Entity have a Sanctions Policy approved by management regarding compliance with sanctions
111	Does the Entity have policies, procedures, or other controls reasonably designed to prevent the use of another entity's accounts or services in a manner causing the other entity to violate sanctions prohibitions applicable to the other entity (including prohibitions within the other entity's local
112	Does the Entity have policies, procedures or other controls reasonably designed to prohibit and/or detect actions taken to evade applicable sanctions prohibitions, such as stripping, or the resubmission and/or masking, of sanctions relevant information in cross border transactions?
113	Does the Entity screen its customers, including beneficial ownership information collected by the Entity, during onboarding and regularly thereafter against Sanctions Lists?
114	What is the method used by the Entity for sanctions screening?
114a	• If automated, are internal system or vendor sourced tools used?
114a1	•• When were the automated screening applications last calibrated?
114b	• If a vendor-sourced tool, what is the name of the vendor/tool?
114c	• When was the tool last upgraded?

115	Does the Entity screen all sanctions relevant data, including at a minimum, entity and location information and wallet addresses contained in transactions against Sanctions Lists?
116	What is the method used by the Entity?
117	Does the Entity have a data quality management programme to ensure that complete data for all transactions are subject to sanctions screening?
118	Select the Sanctions Lists used by the Entity in its sanctions screening processes:
118a	• Consolidated United Nations Security Council Sanctions List (UN)
118b	• United States Department of the Treasury's Office of Foreign Assets Control (OFAC)
118c	• Office of Financial Sanctions Implementation HMT (OFSI)
118d	• European Union Consolidated List (EU)
118e	• Lists maintained by other G7 member countries
118f	• Other (specify)
119	When regulatory authorities make updates to their Sanctions list, how many business days before the entity updates their active manual and/or automated screening systems against:
119a	• Customer Data
119b	• Transactions
120	Does the Entity have appropriate controls to block access to products and services from countries sanctioned by the UN and other sanctions law applicable to the Entity
121	Confirm that all responses provided in the above Section are representative of all the LE's branches
121a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
121b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 11. TRAINING & EDUCATION

No #	Question
122	Does the Entity provide mandatory training, which includes :
122a	• Identification and reporting of transactions to government authorities
122b	• Examples of different forms of money laundering, terrorist financing and sanctions violations relevant for the types of products and services offered
122c	• Internal policies for controlling money laundering, terrorist financing and sanctions violations
122d	• New issues that occur in the market, e.g., significant regulatory actions or new regulations
122e	• Conduct and Culture
122f	• Anti-Bribery and Corruption
122g	• Fraud
123	Is the above mandatory training provided to :
123a	• Board and Senior Committee Management
123b	• 1st Line of Defence

123c	• 2nd Line of Defence
123d	• 3rd Line of Defence
123e	• 3rd parties to which specific FCC activities have been outsourced
123f	• Non-employed workers (contractors/consultants)
124	Does the Entity provide AML, CTF & Sanctions training that is targeted to specific roles, responsibilities and high risk products, services and activities?
124a	Does the Entity provide customised training for AML, CTF and Sanctions staff?
124a	• If Y, how frequently is training delivered?
125	Confirm that all responses provided in the above Section are representative of all the LE's branches
125a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
125b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 12. QUALITY ASSURANCE / COMPLIANCE TESTING

No #	Question
126	Does the Entity have a program wide risk based Quality Assurance programme for financial crime (separate to the independent Audit function)?
127	Does the Entity have a program wide risk based Compliance Testing process (separate to the independent Audit function)?
128	Confirm that all responses provided in the above Section are representative of all the LE's branches
128a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to
128b	• If appropriate, provide any additional information / context to the answers in this section

SECTION 13. AUDIT

No #	Question
129	In addition to inspections by the government supervisors/regulators, does the Entity have an internal
130	How often is the Entity audited on its AML, CTF, ABC, Fraud and Sanctions programme by the
130a	• Internal Audit Department
130b	• External Third Party
131	Does the internal audit function or other independent third party cover the following areas:
131a	• AML, CTF, ABC, Fraud and Sanctions policy and procedures

131b	• Enterprise Wide Risk Assessment
131c	• Governance
131d	• IT Security, including token and PII data storage and access
131e	• KYC / CDD / EDD and underlying methodologies
131f	• Name Screening & List Management
131g	• Outsourcing
131h	• Reporting/Metrics & Management Information
131i	• Suspicious Activity Filing
131j	• Technology
131k	• Transaction Monitoring
131l	• Transaction Screening including for sanctions
131m	• Training & Education
131n	• Other (specify)
132	Are adverse findings from internal & external audit tracked to completion and assessed for adequacy and completeness?
133	Confirm that all responses provided in the above Section are representative of all the LE's branches
133a	• If N, clarify which questions the difference/s relate to and the branch/es that this applies to.
133b	• If appropriate, provide any additional information / context to the answers in this section.

SECTION 14. DECLARATION STATEMENT

GBBC Digital Finance Virtual Asset Due Diligence Questionnaire 2022 (GDF VADDQ v1.2)

Declaration Statement (To be signed by Global Head of Correspondent Banking or equivalent position in Compliance OR equivalent)

[Entity name] is fully committed to the fight against financial crime and makes every effort to remain in Entity understands the critical importance of having effective and sustainable controls to combat financial

The Entity recognises the importance of transparency regarding parties to transactions in international payments

The Entity further certifies that information provided in this GDF VADDQ will be kept current and will be

The Entity commits to file accurate supplemental information on a timely basis

I, **[Full Name of MLRO or equivalent]**, certify that I have read and understood this declaration, that the

Signature

Date

o" is incorrect.

fiction" as a response.

oDerivatives 4.0 International License. Full details of the license can be viewed

F). Where there local jurisdictions with differences in language, requirements

Group for permitting the use of Correspondent Banking Due Diligence Questic

ionnaire at an ultimate parent / head office level. Subsidiary / branches would

ty and on behalf of all of its branches. If a response for the Legal Entity differs
is significantly different than its head office, the branch should complete a se

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

and practices. It may be used as part of the on-boarding entity's AML policies and internal risk management standards of their jurisdiction, thereby

and here: <https://creativecommons.org/licenses/by-nc-nd/4.0/legalcode>.

or content this questionnaire can be customised to meet those needs.

questionnaire upon which this VA Due Diligence Questionnaire is based.

be considered covered by that parent due diligence questionnaire. If there are

for one of its branches this needs to be highlighted and detail regarding this separate questionnaire.

Guidance

Also referred to as company name

Most VASPs will have multiple legal entities rather than branches, hence this question may not be applicable in most cases and may require that DDQ be completed at each entity level. However, the following is a broad guidance for entities with foreign branches:

a) Include the Legal Entity's foreign branches, unless there is a branch which has different business activities/users or does not follow the same Financial Crime Compliance Programme.

b) List all branches acting as responding entities, including full name and country of location.

Registered address for the Legal Entity, also known as address of incorporation.

Address where the Entity is primarily physically located (similar to principal business address or address of residence). If there should be discrepancy between the primary and registered address, commentary may be added in the Notes

Provide the date of incorporation. If the full date is not available, provide the year and explain why the full date is not available in the Notes

N/A
Ownership chart means a visual representation of the ownership structure, including percentage of ownership and the full name of all parent entities and ultimate beneficial owners
Entity is publicly traded if 25% or more of its ordinary shares or common stock are listed on a stock exchange
Provide the full names of all the stock exchanges where the ordinary shares/common stock are primary listed along with the unique ID used by each stock exchange to identify the security.
Mutual Societies are organisations owned by their members and managed for their benefit, such as a building society, friendly society, credit union, registered society (including: co-operative societies, industrial and provident societies, <u>community</u>
If Entity is owned 25% or more by a government state-owned body or state agency (directly or indirectly) for the purpose of performing state-related activity versus an investment stake
N/A
Provide immediate and ultimate shareholders(legal entities and natural persons) full names and percentage held.
A foundation is a non profit corporation or a charitable trust that typically provides grants to organizations, institutions, or individuals for charitable purposes.
A trust is a legal entity that acts as a fiduciary, agent, or trustee on behalf of a person or business for the purpose of administering, managing and eventually transferring the assets to a beneficial owner or party.
A not- for- profit organisation does not earn profit for its owners. All money earned through running of the business activities or through donations tend to
N/A
N/A
Are share certificates issued in bearer form? Ownership is signified by possession of certificates issued to "bearer".
This is the regulator with primary responsibility for oversight of anti-money laundering, counter terrorist finance and other types of financial crime <u>compliance</u>
NA
This means registered in the country where primary business activities are carried out and where the entity is incorporated

This refers to entities that have been granted an exemption from holding a licence under a specific legislation e.g. under the Payment Services Act ("PS Act") in Singapore for the specific regulated activities or payment services for a specified period. Such exemptions typically expires after a specified period.
NA
Licensed (Regulated) or registered with the competent authority to carry out virtual asset services, in the jurisdictions where business activities are carried out
NA
NA
NA
NA
NA
A Legal Entity Identifier (or LEI), is a 20-character identifier that identifies distinct legal entities that engage in financial transactions. It is defined by the International Organization for Standardization (ISO) 17442
Provide the name of the entity that effectively holds/controls majority voting power over the responding party.
If applicable, country in which the primary financial regulator/supervisory authority of the ultimate parent is established
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
Refer to FATF Final Guidance for more information
In a centralised set up, strategic planning, goal setting, budgeting, and talent deployment are typically conducted by a senior leader or leadership team.
In decentralized organizations, formal decision-making power is distributed across multiple individuals or teams.
NA

Include the number of full time employees(FTE) of the Entity and any applicable branches. The Entity should aim to include the most accurate figure although it is understood that there may be a small variance for larger Entities.

Provide the Total Assets per the Entity's latest audited balance sheet, including any applicable branches. The Entity should aim to include the most accurate figure although the Group understand that there may be a small variance for larger Entities.

NA

NA

NA

NA

NA

Guidance

A VASP that is providing its services to other VASPs

N/A

This means does the Entity provide services to banks, NBFIs, or other VASPs who themselves have user relationships that would be subject to AML/CFT regulation

N/A

N/A

This means does the Entity provide services to MSBs/MVTS who themselves have user relationships that would be subject to AML/CFT regulation

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

N/A

“Policies” establishes the principles to be adhered to in order to ensure effective risk management, aligned to the three Lines of Defence model. Procedures” support the implementation of the policy by providing detailed requirements that must be adhered to. Furthermore, this question assumes the inclusion of the 3 lines of defence model. If for any reason this is not in place the an explantion and associaeted mitgaitions need to be include in the answer to this question
N/A
N/A
Assessment of the inherent money laundering, terrorism financing, sanctions and bribery and corruption risks, present within the Entity (customers, geography, products, channels), as well as the mitigating controls implemented to manage those risks, resulting in a residual risk rating. This also includes any 3rd party solutions for risk assesemnet data or risk aasement solutions.
N/A
N/A
Refers to activities delivered either internally or by a third party, designed to
Refers to monitoring of money laundering typologies, such as smurfing, money mule activitiy, etc.
If the Entity is required to comply with the FATF Travel Rule, or is voluntarily doing so, and has policies and procedures in place then respond Yes
Refers to policies and procedures in place for dealing with unhosted wallets.
Refers to the use of Blockchain Analytics software to monitor for the risk of virtual asset addresses
N/A
This question excludes contractors and temporary staff and is only concerned with AML and Sanctions full time employees or equivalent in the second line of defence
N/A
Policy may be maintained at the Entity or the Entity’s parent level – answer for the policy applied by the Entity completing the questionnaire. If the Entity answer is “No” add context in the Notes field
“Reporting” means Management Information (MI) which is reported to Senior Management by way of presentation slides, metrics and/or discussions which can be evidenced via minutes.
“Third party” means a different legal entity. This could be either related or unrelated to the responding Entity (i.e. either another entity in the same group or a third party). Provide the response based on the third party performing activities on behalf of the Entity, where the Entity remains accountable for the activity from a regulatory perspective
Explain what is done by the third party, its responsibilities, details of the location where the third party is based, if it is regulated and by whom, if it is related to the Entity. Confirm if the third party is subject to the same governance, policies and procedures as the Entity.

NA
NA
NA
NA

Guidance
“Reasonably” refers to the ability to reduce the exposure to bribery and corruption versus the ability to eradicate all risks.
“Enterprise wide” refers to a programme which covers all relevant functions and activities which may be impacted by bribery and corruption risks, including branches and any businesses under the Entity’s responsibility. Refer to the programme which is currently in place whether imposed by the parent company or designed by the Entity itself.
Has the entity assigned accountability for the ABC programme to an appropriate individual? “Sufficient experience/expertise” is based on local regulatory expectations and industry standards in the jurisdiction where the Entity is based. Consider the type of role previously undertaken and length of time in the Virtul Asset and Financial Industry Compliance sector
Adequate staff” refers to the number of employees to address all the activities required under the ABC programme. “Sufficient experience/expertise” is based on the local regulatory expectations and industry standards in the Jurisdiction where the Entity is based.
NA
NA
NA
Interactions with public officials can be considered to pose a higher risk of bribery and corruption
“Books” refers to financial accounts. “Records” refer to any records retained for audit purposes.
“Monitor the effectiveness” refers to testing and oversight that the Entity has
“Reporting” means Management Information (MI) which is reported to Senior
NA
NA

NA
NA
NA
NA
NA
Respond to this question taking into account the Board responsible for the responding Entity (which may be the Board of the parent).
NA
NA
NA
Means training provided to third parties which currently perform ABC activities on behalf of the Entity.
NA
NA
NA
NA
NA

Guidance
NA
NA
NA
NA
NA
Has the Entity performed a gap analysis against US regulations, over and above local regulatory and legal requirements?

No further guidance required
Has the Entity performed a gap analysis against Europe regulations, over and above local regulatory and legal requirements?
NA
NA
NA
NA
NA
NA
NA
NA
NA
NA
See Section 7 regards enhanced due diligence steps for high risk clients. VASP should have a process in place to onboard, monitor and update risks associated with high risk clients
The VASP should provide procedures and TORs for relevant governance committees and escalation points for high risk clients as well as the criteria for escalation
Does the Entity incorporate procedures (acting as controls) which trigger client exits, heightened monitoring or watchlist entries. This is where the user is deemed to be outside the risk tolerance of the Entity
Does the Entity incorporate procedures (acting as controls) which trigger client exits, heightened monitoring or watchlist entries. This relates on the grounds of suspicion or knowledge.
Are the VASP's systems built to document high risk, exited users so as to prevent future re-onboarding.
VASPs that transact with unhosted wallets should have policies and controls that define how the AML, CTF and Sanctions risk is assessed and managed.
NA
NA
Risk tolerance/risk appetite statement documents the level of the exposure beyond which the Entity is not prepared to accept
Documented procedures outlining the minimum period for which records must be kept, e.g. including customer due diligence information, outcome of screening controls, escalation and decisions made by Senior Management and others.
NA
NA
NA
NA

Guidance
Refers to the Entity's book and all its clients/customers.
All products provided by the Entity, directly or via third parties.
Includes Unhosted or hosted wallets and fiat off or on ramps
Means the ways which the services are provided, e.g. face to face,
Means the jurisdictions to which the Entity has exposure via its clients, physical
Control effectiveness is an assessment to determine how well controls are
Effective program to monitor ongoing transaction monitoring to include robust
See Section 8
See Section 7
See Section 10
See Section 7
See Section 11
Means AML & CTF governance controls effectiveness, e.g. paths of escalation, the collection and dissemination of Management Information, effectiveness of actions taken to enhance its governance, among other aspects.
NA
VASPs should have policies and procedures in place that govern how new virtual assets are listed, such as risk assessment, decision making, and monitoring. This should extend to policy for when a token should be delisted when outside the VASPs risk appetite.
VASPs should have an outsourcing policy that governs how third parties are selected, the due diligence carried out, access to information, monitoring, etc. The VASP should retain ultimate responsibility and accountability for the function outsourced.
NA
NA
Refers to the Entity's book and all its clients/customers.
All products provided by the Entity, directly or via third parties.
Includes Unhosted or hosted wallets and fiat off or on ramps
Means the ways which the services are provided, e.g. face to face,
Means the jurisdictions to which the Entity has exposure via its clients, physical presence and services provided.
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Guidance
“Verification of identity” refers to the requirement to evidence the information provided by/on behalf of the user during CDD, as required.
NA
In context of virtual assets, most customer relationships will be Non Face-to-
NA
NA
NA
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NA
This may include volumes, types of transactions, jurisdictions, frequency, products, values.
All types of revenue generating activity provided/performed by the user.
NA
Type and level (e.g. value/volume) of utilisation of products
The reason for the establishment of the relationship and the type of relationship such as investment banking or private banking.
NA
NA
NA
This question is asking if the Entity verifies ultimate beneficial owners within the ownership/control threshold set by the Entity, e.g. 25% or more, 10% or more, etc
NA

NA
Any other entity or individual which otherwise holds a significant ownership or controlling interest in the customer, e.g. authority to act on behalf of the customer.
Indicate the Entity's lowest ownership/control threshold obtained from its customers, based on the Entity's risk appetite. "Lowest" refers to the ownership threshold applied to the highest risk customer rating the Entity implements.
"Risk classification" refers to the customer receiving a risk score or rating when assessing potential financial crime risk exposure.
NA
NA
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NA
Whether the interaction with the customer is in person or remote and online.
NA
Additional verifications could include biometric checks, geolocation measures and liveness tests.
NA
Periodic, ongoing KYC/CDD review of existing customers/clients.
A trigger event is some new event or piece of information that alters the information in the CDD record and would cause it to be reviewed e.g. significant negative media, or disclosure of a regulatory order
NA
Automated/Manual/Combination: Automated is typically achieved through a regular automated feed of data into a screening tool which will perform name match checks against the data and generate 'alerts' for VASP staff to review. Manual is in reference to screening that is not automated. Combination is a mix of automated and manual.
Means a documented process in the Entity's policies and procedures setting out how an employee can escalate screening hits related to PEPs and PEP exposure.
NA
Periodic, ongoing KYC/CDD review of existing customers/clients.
A trigger event is some new event or piece of information that alters the information in the CDD record and would cause it to be reviewed e.g. significant negative media, or disclosure of a regulatory order
NA

Automated/Manual/Combination: Automated is typically achieved through a regular automated feed of data into a screening tool which will perform name match checks against the data and generate 'alerts' for VASP staff to review. Manual is in reference to screening that is not automated. Combination is a mix

Means a documented process in the Entity's policies and procedures setting out how an employee can escalate screening hits related to PEPs and PEP exposure

This question focuses on the governance of periodic and trigger event KYC/CDD reviews of the Entity's customers base, so that Senior Management are made aware of control issues eg delays, back logs.

NA

NA

NA

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NA

NA

NA

A correspondent relationship means the provision of services by one Virtual Asset Service Provider to another Virtual Asset Service Provider or Financial Institution

NA

NA

A darknet market is a commercial website that operates on darkweb which is characterized as decentralized, unindexed unregulated area of the Internet only accessible via certain browsers.

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Guidance
This question focuses on both systematic regulatory transactional reporting obligations and suspicious activity reporting
NA
NA
NA
Conduct and Culture in this context refers to regulatory requirements around behaviour from a financial crime risk management perspective.
NA
NA
NA
NA

In some Virtual Asset firms it is recognised that the three lines of defence model may be compressed into one or two lines
Comment as per 123c
Answer "Yes" if the Entity provides training to the 3rd party performing financial crime compliance activities on their behalf. Or Also answer "Yes" if the Entity has oversight of the 3rd party's training programme for financial crime compliance and is comfortable that it complies with the Entity's requirements?
NA
NA
AML and Sanctions staff includes all full time employees, as well as contractors and temporary staff, from both 1st and 2nd line of defence. "Customised" refers to a training programme tailored to the role and responsibilities that the <u>employee undertakes</u> .
NA
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Guidance
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Guidance
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- Money Laundering, Chief Compliance Officer, Global Head of Financial Crimes

ards in all of the jurisdictions in which it does business and holds accounts. The obligations.

nest belief, and that I am authorised to execute this declaration on behalf of the